GLOUCESTER
ZAKAT FUND
CHARITY FOR LOCAL RESIDENTS

ZAKAT POLICY

Document Information	
Policy Name	Zakat Policy
Version	1.0
Policy Owner	Board of Trustees
Approved by	Board of Trustees
Date Approved	01/02/2026
Next Review Date	01/02/2028
Related Policies	Due Diligence Policy, Anti-Money Laundering Policy, Safeguarding Policy, Data Protection Policy, Financial Reserves Policy

1. Introduction

Gloucester Zakat Charity ("the Charity") is a Charitable Incorporated Organisation established to prevent and relieve poverty and financial hardship in Gloucestershire and the wider United Kingdom, with a particular focus on members of the Muslim community. The Charity collects and distributes Zakat (obligatory Islamic almsgiving) and Sadaqah (voluntary charity) to eligible beneficiaries.

The Charity is committed to receiving, managing, and distributing Zakat strictly in accordance with Shariah principles, scholarly guidance, and the trust placed in us by Zakat payers.

A defining principle of the Charity is that 100% of Zakat received is distributed to rightful Zakat recipients. No Zakat is used for administrative costs, staffing, fundraising, or overheads.

2. Purpose

The purpose of this policy is to set out how the Charity receives, manages, and distributes Zakat funds in accordance with Islamic jurisprudence (fiqh) and to provide transparency and assurance to Zakat payers that their contributions are handled correctly.

3. Scope

This policy applies to all trustees, volunteers, officers, and anyone acting on behalf of Gloucester Zakat Charity in matters relating to Zakat collection, assessment, and distribution.

4. Governance and Responsibility

The Board of Trustees is responsible for approving, reviewing, and ensuring compliance with this policy. Trustees have collective responsibility for ensuring that Zakat is collected and distributed in accordance with Shariah principles and that the Charity maintains the trust of donors and the community.

5. How Zakat is Received

Zakat funds are donated by bank transfer, cash, and other generic online platforms, such as Kindlink, PayPal etc. All Zakat received is:

- Ring-fenced and recorded separately from other funds
- Never mixed with non-Zakat funds which may be used for administrative costs
- Accounted for transparently

Non-Zakat funds (Nafl Sadaqah, Lillah and general donations) are received by bank transfer, cash, and other generic online platforms such as Kindlink, PayPal etc. These funds may be used for administrative costs and overheads where appropriate.

Receipts are available upon request.

6. Shariah Basis for Distribution

Zakat is distributed in accordance with the eight categories of eligible recipients specified in the Quran (Surah At-Tawbah, 9:60). The Charity's distribution has a primary focus on:

- ***Fuqara*** (the poor)
- ***Masakin*** (the needy)

Support for ***Gharimin*** (those in debt) is provided where appropriate, particularly where Zakat can relieve genuine hardship and prevent deterioration of circumstances.

7. Eligibility Criteria

To be eligible for Zakat assistance from the Charity, applicants must:

- Be Muslim
- Be below the Nisab threshold (the minimum amount of wealth above which Zakat becomes obligatory)
- Be in genuine hardship

The Charity reserves the right to withhold, delay, or structure Zakat payments where there is clear evidence of ongoing financial irresponsibility. Such decisions will be assessed proportionately and fairly, following discussion with the applicant.

8. Assessment and Verification

Eligibility is assessed with discretion, dignity, and reasonable confidence. The assessment process involves:

- Completion of an application form by the applicant
- Provision of supporting evidence as required
- Attendance at an assessment interview
- Engagement with Charity representatives as needed
- Signing a declaration confirming the validity of the claim before any funds are distributed

For applicants requesting up to £100 as an emergency measure, the assessment and verification process will be expedited to ensure timely assistance. This is the average cost of one night’s hotel stay and a meal in Gloucester.

9. Method of Distribution

Zakat may be distributed via:

- Direct bank transfer to the recipient
- Cash payment
- Third-party payments on behalf of the recipient (for example, paying a bill directly to a utility provider or landlord)

Where appropriate, the Charity may provide capacity-building assistance that helps recipients move toward financial stability and independence, within Shariah limits. This may include support for therapy costs, education costs, and transport costs.

10. Wakalah Arrangement

Under Islamic jurisprudence, recipients appoint the Charity as their agent (wakeel) to receive and disburse Zakat on their behalf. This arrangement allows the Charity to manage Zakat funds and make payments to third parties where this is in the best interests of the recipient.

11. Timing of Distribution

Zakat is distributed promptly to eligible recipients. The Charity aims to distribute all Zakat received within one lunar year where possible, in accordance with scholarly guidance on the timely distribution of Zakat.

12. Record Keeping

Accurate and secure records are maintained of all Zakat received and distributed. Records are stored on a secure server and are accessible only by trustees and authorised volunteers of the Charity. Record keeping is conducted in accordance with the Charity's Data Protection Policy.

13. Oversight and Scholarly Guidance

The Board of Trustees maintains oversight of all Zakat collection and distribution activities. Where necessary, the Charity will seek scholarly consultation to ensure continued Shariah compliance, particularly in complex cases or where contemporary issues require guidance.

14. Review

This policy will be reviewed periodically by the Board of Trustees, and as required if there are changes in the understanding of Zakat in a contemporary context according to senior scholars from the Hanafi school of thought.

15. Approval and Version History

Version	Date	Approved By	Changes
1.0	01/02/2026	Board of Trustees	Initial policy

16. Trustee Declaration

We, the undersigned trustees of Gloucester Zakat Charity, confirm that we have read, understood, and approved this Zakat Policy and commit to its implementation in accordance with Shariah principles.

Name	Role	Signature	Date
Mr Abdullah Abdul Samad Patel	Chair	A. Patel	01/02/2026
Mr Kamel Boulkenafet	Trustee	K. Boulkenafet	01/02/2026
Mr Hashim Moolla	Trustee	H. Moolla	01/02/2026
Mr Farouq Ginwalla	Trustee	F. Ginwalla	01/02/2026
Ms Mariam Qureshi	Trustee	M. Qureshi	01/02/2026

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